THE BITCOIN STRATEGY · PREMIUM

The Crash Rebound Strategy

This vault buys liquid altcoins right after they crash and sells into the bounce. When a bounce runs too far, it turns around and shorts the same coin for up to two days. Every trade is hedged with ETH, and between crashes the vault sits in USDC.

TEST RESULT, PER YEAR

+115%

on Hyperliquid data, before fees; bitcoin fell 5% in the same window

WORST DROP

-5.4%

peak to bottom on daily closes; no month lost more than 1.3%

10 OCTOBER 2025 CRASH

Survived

with 41% of its margin still free in the worst hour since 2020, even if no stop had filled

The expected returns in this document come from the Hyperliquid backtest (20 December 2025 to 28 September 2026), the same test the vault page shows. Section 6 shows a longer history since 2020 for context, and those years were a lot quieter. Please read section 9 on the risks before you invest.

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29 September 2026 · hold times, targets and position size tuned on the whole history · positions sized to each coin's order book, capped at 120% of the vault and shared out equally on busy hours · safety stops for extreme moves · Hyperliquid test window 2025-12-20 to 2026-09-28 (283 days) · longer history from 2020-01-01 · Prepared for Premium members · Backtest on past data, not real trading · Not investment advice.

1. The idea in one minute

Every few weeks an altcoin crashes for reasons that have little to do with the coin, often a liquidation cascade or a large holder selling into a thin order book. Within hours the price falls 10% or more on forced selling. Once the forced sellers are done, part of that drop usually comes back.

When a liquid coin on Hyperliquid crashes, the vault buys it and shorts ETH in the same hour, so the trade only earns if the coin does better than ETH. It sells at +9% or after 50 hours, whichever comes first.

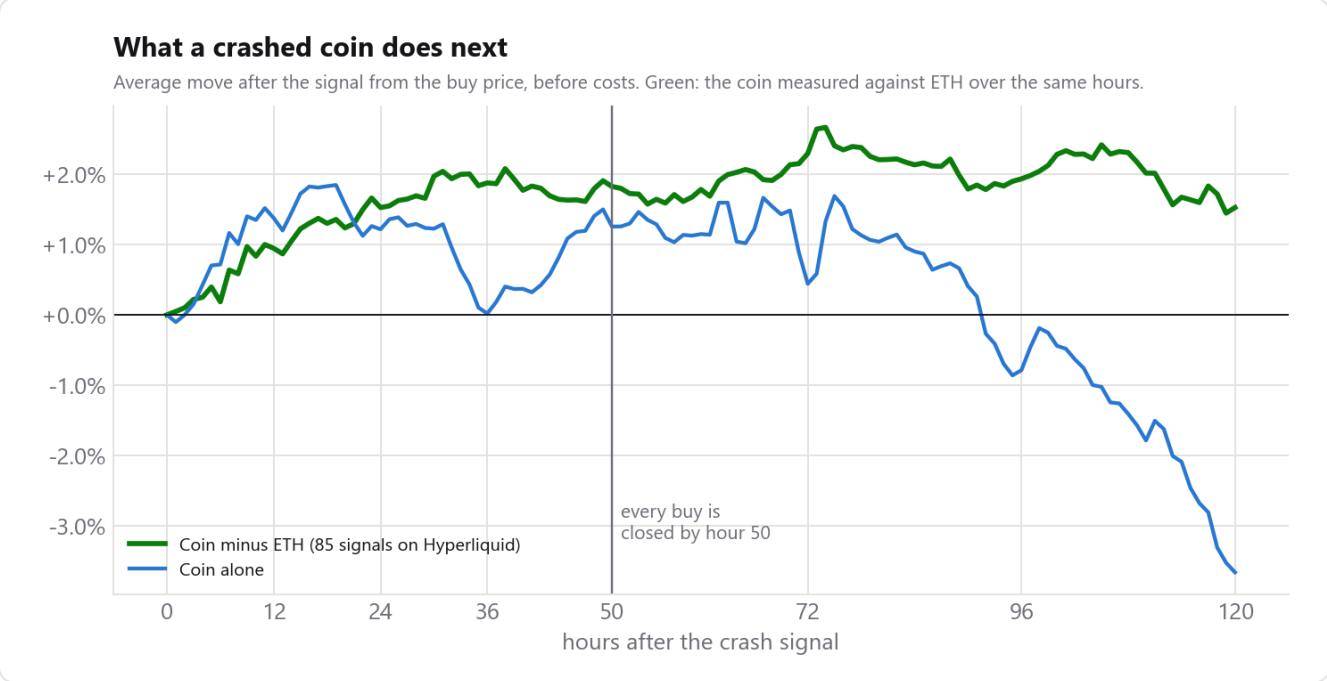
Some coins bounce so fast that they overshoot. When a buy reaches its +9% target, the vault sells it and opens a short in the same coin, held for up to 48 hours. So the vault trades both turns: the crash and the overshoot after it.

> **In one sentence**
>
> Buy the coins that panic sellers just dumped, short the ones that bounced too far, and hedge everything with ETH.

The vault holds positions only about 20% of the time, and the direction of bitcoin hardly matters to it: its daily returns in the test had a correlation of 0.00 to bitcoin.

2. The first trade: buying the crash

The chart below follows every crash signal, the moment a liquid coin's 21-hour RSI closes below 20. It shows how the coin moved on average in the hours after the vault would have bought it.



Blue: the coin alone. Green: the coin measured against ETH over the same hours, which is what a hedged trade earns. All 85 crash signals on Hyperliquid.

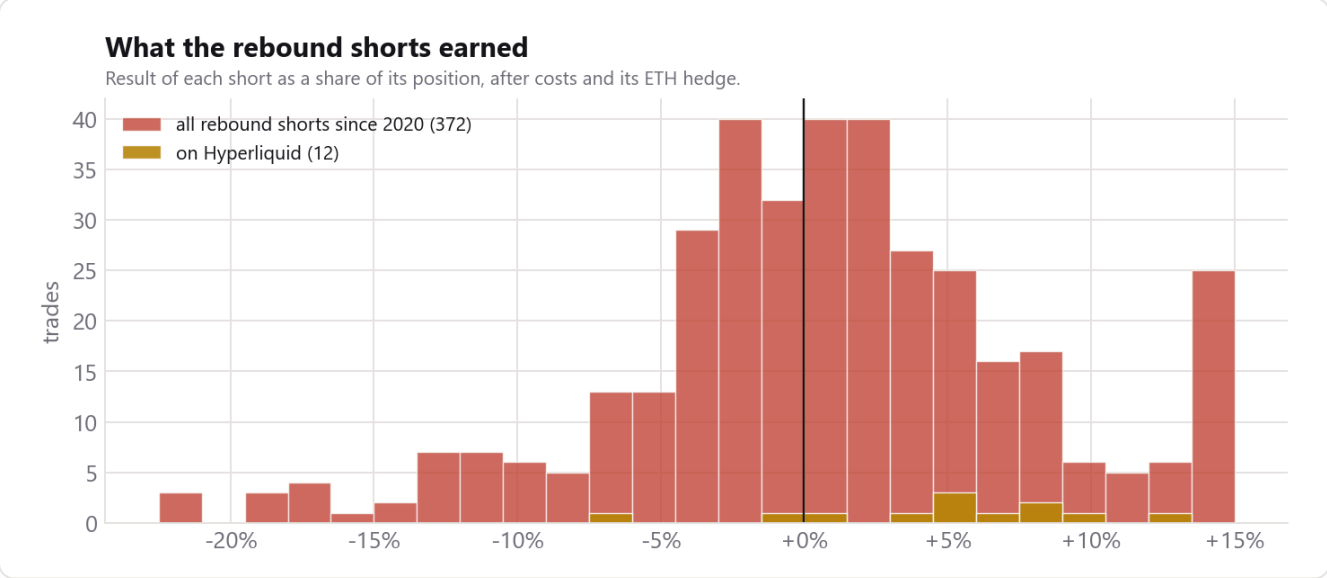
The green lines show what a hedged buy earns. On Hyperliquid, a crashed coin gained 1.5% on ETH in the first 24 hours and 2.3% by hour 72. Across all signals since 2020 the figures were 1.5% and 1.9%. Both datasets show the same bounce of about 2% against ETH within three days, and that bounce is what the vault buys.

The coin on its own (blue) was less reliable. On Hyperliquid, the average coin was about back at its buy price after three days and 3.7% below it after five. When altcoins keep sliding after a crash, ETH usually slides with them, and the short ETH position earns back what the coin loses.

Some crashed coins bounce hard within hours: 12% of Hyperliquid signals and 37% of all signals since 2020 touched +9% within 50 hours. The vault sells those at the +9% target, and that is where the second trade starts. No buy stays open longer than 50 hours. By then most of the bounce against ETH is in, and a coin that has not recovered tends to drift lower (the blue line after hour 72).

3. The second trade: shorting the overshoot

A coin that climbs 9% within hours of a crash has often run ahead of itself. The vault then turns around: it shorts the same coin, with a long ETH position against it, and closes the short at -9% or after 48 hours.



Every rebound short in the backtests, after costs, funding and its ETH hedge. Results above +15% are counted in the last bar.

On Hyperliquid, 7 of the 10 coins that reached +9% were lower three days later, and the shorts won 10 of 12 times. Since 2020 the pattern is weaker: fewer than half of those coins fell, yet the shorts still made money, with 56% winners and +0.9% per trade after costs. That comes from the shape of the trade. When a coin collapses a second time, the short takes its 9% profit and is out. When the coin keeps rising, the short is closed after two days.

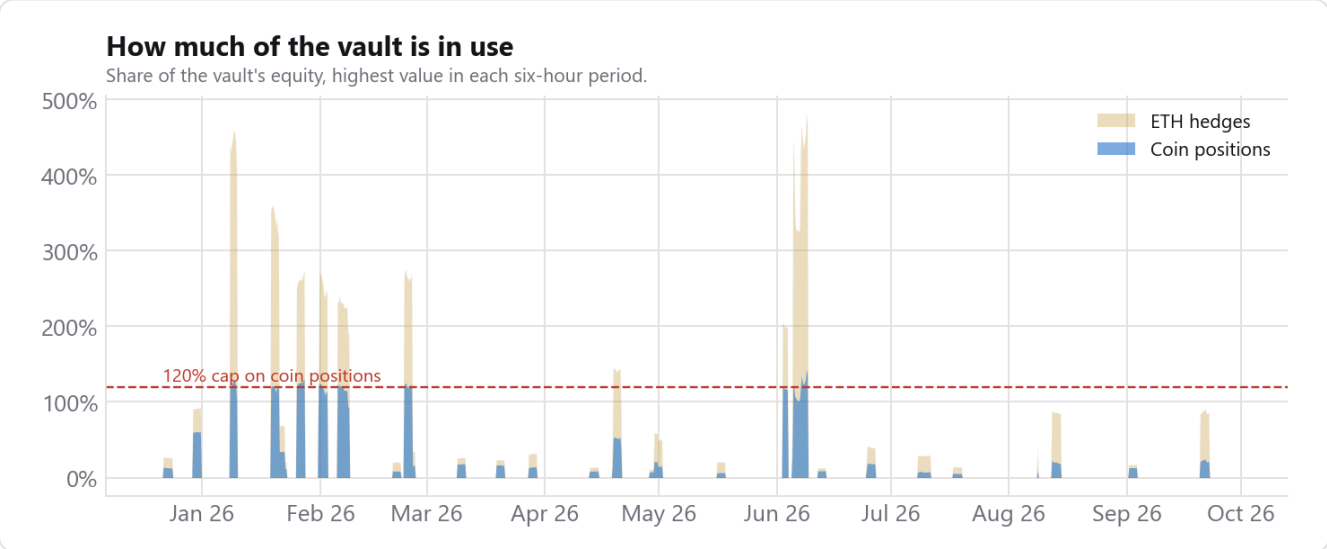
SAME BUYS, DIFFERENT SHORT	HYPERLIQUID TEST, PER YEAR	SINCE 2020, PER YEAR	SINCE 2020, WORST DROP
No short	+74%	+23%	-35%
Short held up to 24 hours	+87%	+32%	-27%
Short held up to 48 hours (this vault)	**+115%**	**+34%**	**-25%**
Short held up to 72 hours	+104%	+34%	-34%

The short adds about 11 points a year to the long history. It made 27% of the profit on Hyperliquid and 40% since 2020. Holding it 72 hours earned about the same since 2020 but deepened the worst fall from 25% to 34%, so the vault closes it after 48 hours. I also tested shorting every buy at its time exit, whether it bounced or not. It lost money in 2020 and was weaker over the whole history. Only coins that already bounced hard are worth shorting.

4. How it works

The vault follows fixed rules and checks them every hour.

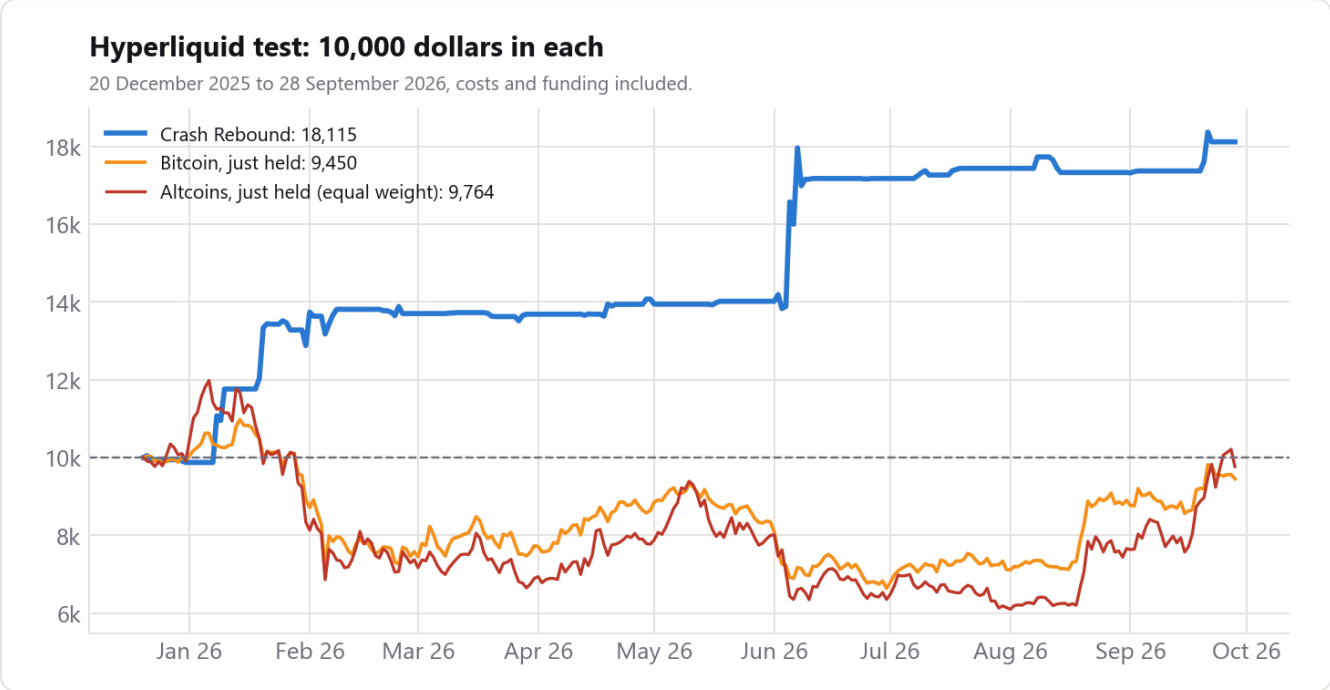
- The vault watches every Hyperliquid perpetual that traded at least $5 million in the last 24 hours. When a coin's 21-hour RSI closes below 20, a reading that means the last day was almost all selling, it buys at the next hourly open. The deepest crash goes first when several fire at once.
- Each position is as big as the coin's order book allows: at most 1.25% of what the coin traded over the last 24 hours. A deep coin can take a large share of the vault, a thin one gets a small position. Buys and shorts together are capped at 120% of the vault, one position per coin.
- When more crashes arrive than fit under the cap, the vault cuts the open positions so that every position, old and new, holds an equal share of the 120%. Positions are only ever cut, never topped up. Section 7 explains why.
- Large orders go out in slices. The vault never sends more than half of what rests on the order book close to the price in one go, and sends the next slice about 20 seconds later, the same way the Funding Momentum vault trades. There are never orders waiting on the book.
- Every buy opens a short ETH position of matching risk: the coin's volatility divided by ETH's over the last two weeks, capped at three times the position. Every short gets a long ETH position instead.
- A buy is sold at +9%, or after 50 hours at the latest.
- After a buy is sold at +9%, the vault shorts the same coin and closes the short at -9% or after 48 hours.
- Two safety stops handle extreme moves. A buy is sold if the coin falls 8 times its usual hourly range below the entry, and a short is closed if the coin rises 40% above its entry. They are wide on purpose and rarely fire (section 7).



Coin positions (blue) and their ETH hedges (gold) as a share of the vault, Hyperliquid window. The vault held positions 21% of the time, on average 48% of its value when it did. The cap applies when a position is opened; a coin that then rises can lift the total above it, to 143% at the highest. Total exposure including the hedges briefly reached 4.8 times the vault in the busiest hour.

5. Results on Hyperliquid

All expected returns in this document come from this test: the market the vault trades, from 20 December 2025 to 28 September 2026, on the same data the vault page and the live signal use. It was a falling market for crypto, which makes it a useful test for a strategy that buys crashes.

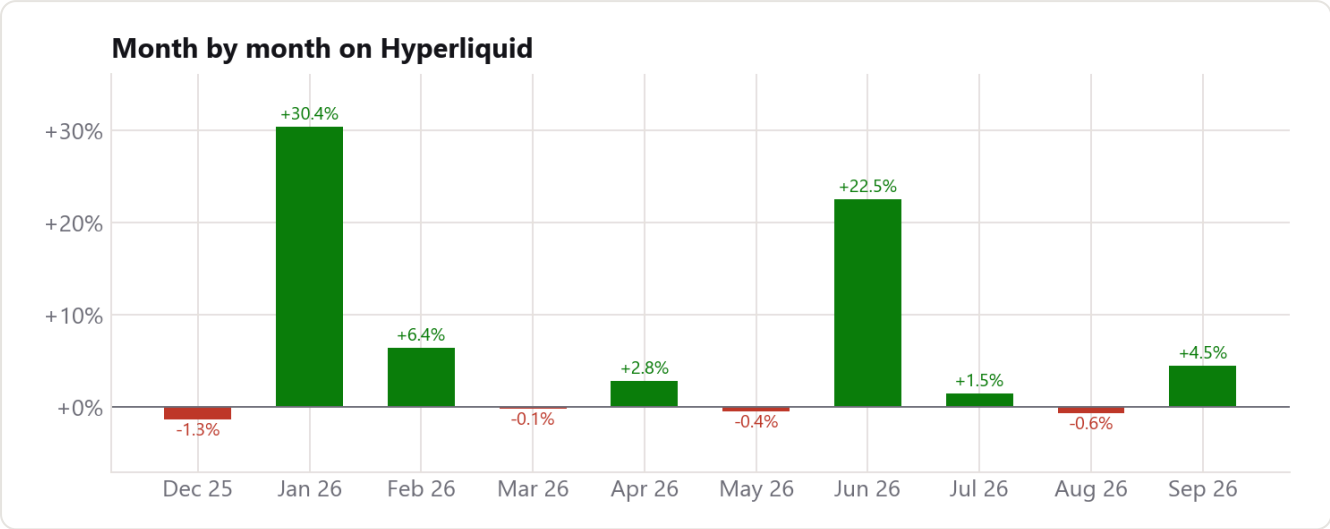


Hourly simulation on Hyperliquid prices with exchange fees, spread, order-book impact, hourly funding on every leg and an hourly liquidation check at the worst price of each hour. No look-ahead: every decision uses only data available at that hour.

OVER THE SAME 283 DAYS	CRASH REBOUND	BITCOIN, JUST HELD	ALTCOINS, JUST HELD
Total return	+81.2%	-5.5%	-2.4%
Per year	+115.2%		
Worst drop along the way	-5.4%	-39.5%	-49.1%
Months with a gain	6 of 10		
Ending value of $10,000	**$18,115**	**$9,450**	**$9,764**

The vault made 85 trades: 73 buys, of which 71% made money, and 12 shorts, of which 83% did. The typical position was 10% of the vault, and one in ten was above 79%. The worst single buy lost 14.0% of its position, about 1.4% of the vault.

What the months looked like

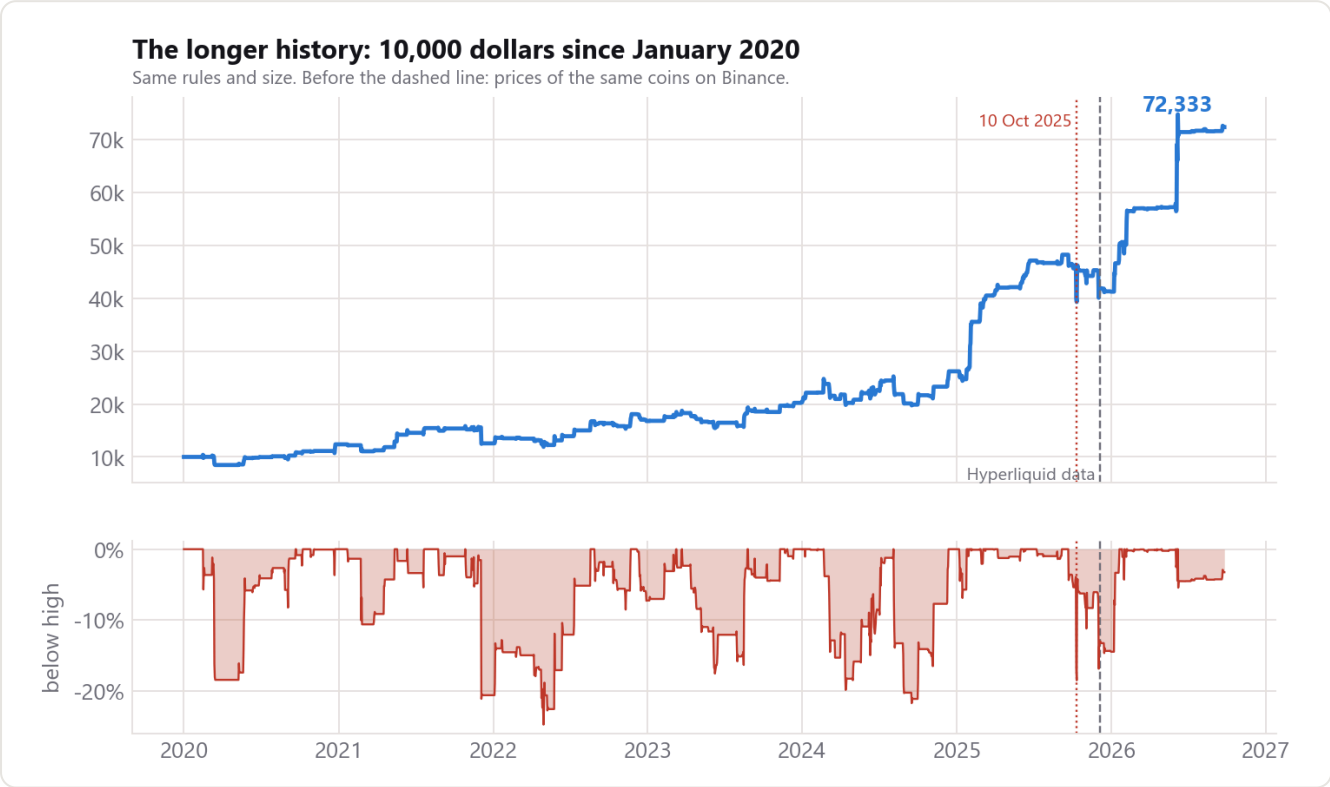


Four months lost money, none of them more than 1.3%: December 2025 (-1.3%), March (-0.1%), May (-0.4%) and August 2026 (-0.6%).

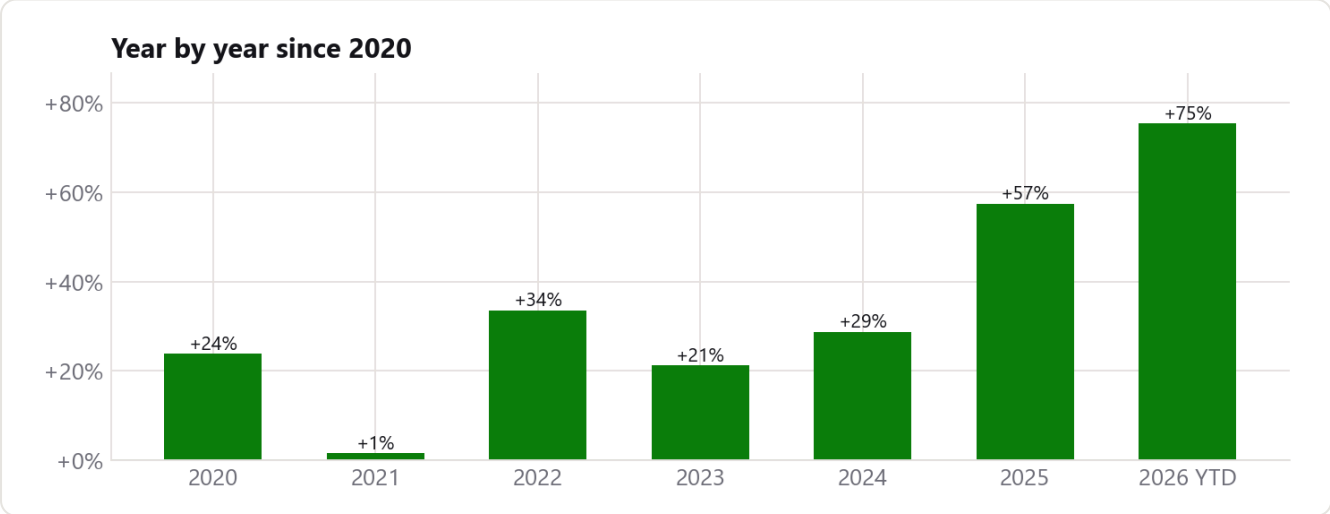
January 2026 alone made 30.4% and June 22.5%, both during waves of altcoin sell-offs. Take January out and the other nine months still made about 39%. Quiet months such as March and May earned nothing, because there was little to trade.

6. The longer history

The same rules were also run from January 2020, to see how the strategy behaves over several market cycles. Before Hyperliquid listed each coin, this history uses Binance's hourly prices for the same coins. Hyperliquid's own data starts on 4 December 2025, at the dashed line. It is shown for context and is not used for the expected returns.



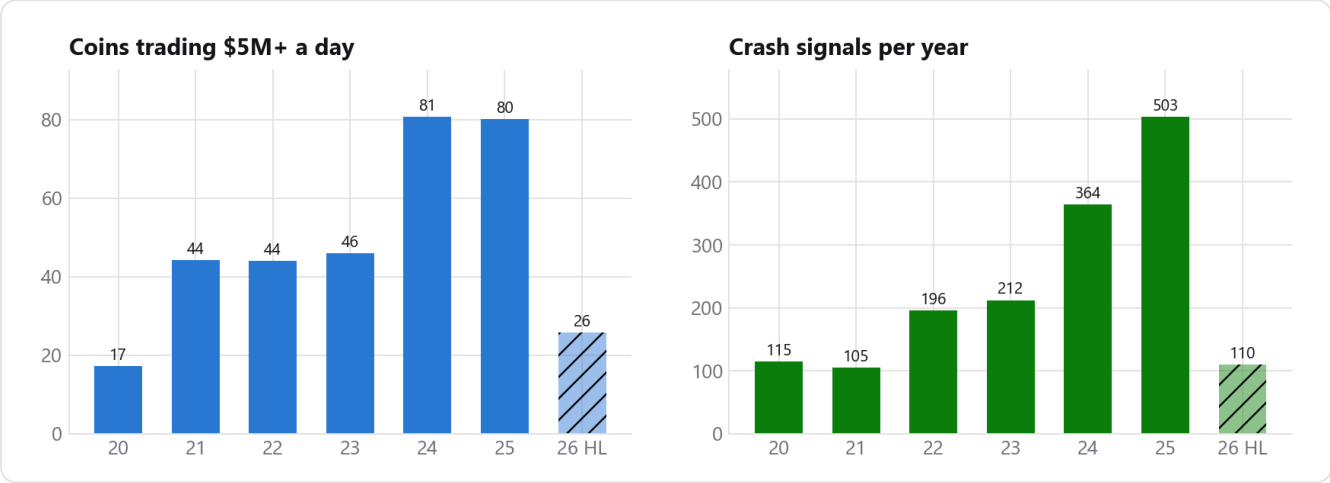
$10,000 in January 2020 became $72,333, about 34% a year. The deepest fall was -24.8%, from October 2021 to April 2022. The dotted red line marks 10 October 2025.



Every calendar year was positive. 2021 was the weakest at +1.5%. 2020 made 24%, 2022 34%, 2023 21%, 2024 29%, 2025 57% and 2026 so far 75%.

Why the later years were better

The strategy only trades coins that change hands for at least $5 million a day, and it needs crashes in those coins. Both became much more common.



Left: average number of coins (all of them tradable on Hyperliquid) with at least $5 million of daily volume. Right: crash signals per year in those coins. 2020 to 2025 on Binance prices; the hatched 2026 bar is Hyperliquid alone, where 26 coins clear the bar, with its pace scaled to a full year.

In 2020 about 17 coins were liquid enough to trade. By 2024 and 2025 it was about 80, and the crash signals went from 115 a year to 503. More liquid coins means more crashes the vault can trade, and more trades mean the good weeks add up. The number of crashes per coin did not rise, so the gain came from breadth.

My own reading of why: perpetual futures on altcoins went from a niche to the main way crypto is traded, and far more of that trading uses leverage. Leveraged positions get liquidated together, and those cascades are exactly the forced selling this vault buys from. This is my interpretation. The backtest data does not measure leverage.

> **A normal year looks different**
>
> On Hyperliquid alone, 26 coins clear the $5 million bar today, so the vault sees about 110 signals a year, far fewer than the 503 of 2025. The +115% came from a market full of sharp altcoin sell-offs. In calmer years the same rules earned between 1.5% (2021) and 34% (2022).

7. Sizing to the order book

A fixed size per trade, such as 16% of the vault, leaves most of the money idle: while the vault holds anything, only about 31% of it is at work. A crash in a coin with a deep order book can carry a much bigger position, and on quiet weeks there is often only one trade open.

So this vault sizes every position to its coin. A position may be up to 1.25% of what the coin traded over the last 24 hours, a share its order book can take without the cost getting out of hand. A lone crash in a deep coin can therefore take most of the 120% cap. When a second and third crash arrive while the first is still open, the vault cuts the open positions so that all of them hold an equal share. The cuts cost fees and slippage, and the backtest charges them.

Built to survive 10 October 2025

On 10 October 2025, a few weeks before the Hyperliquid window, the crypto market had its worst hour in years. Most altcoins traded 30% or more below the previous close within a single hour before recovering. For a strategy that buys crashes this is the worst case: the vault is full of fresh buys exactly when everything falls at once.

With positions sized to the order book, the cap on all coin positions together decides how much margin is left in that hour. The table shows the caps I tested with this vault's rules. Everything else stays the same.

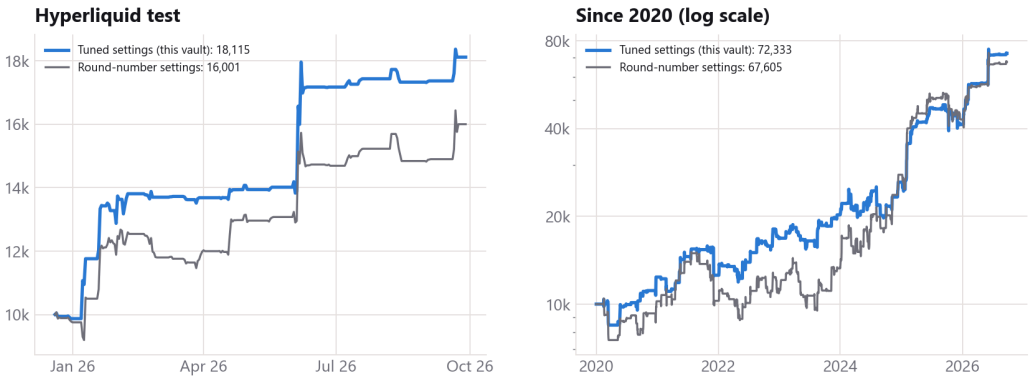
COIN POSITIONS CAP	MARGIN FREE ON 10 OCT, NO STOP FILLED	HYPERLIQUID TEST, PER YEAR	CAPITAL IN USE	SINCE 2020, PER YEAR	SINCE 2020, WORST DROP
100%	49%	+90%	43%	+33%	-22%
120% (this vault)	**41%**	**+115%**	**48%**	**+34%**	**-25%**
140%	33%	+143%	54%	+34%	-29%
160%	29%	+173%	59%	+34%	-38%
225%	liquidated				

"Margin still free" is the share of the vault's equity left above the exchange's maintenance margin, at the worst price of the worst hour. At zero the exchange closes the positions. 10 October 2025 at 21:00 UTC was the tightest hour of the whole history since 2020. "Capital in use" is the average share of the vault in coin positions while it holds any, on Hyperliquid. The margin column assumes no safety stop filled during the crash hour, because in a crash that fast the order book can be empty at the stop price. Returns and drops include the stops.

A higher cap earns much more on Hyperliquid, where crashes were frequent. Over the six years since 2020 it adds nothing: the return stays at 34% a year while the deepest fall grows from 25% to 38% at 160%. In calmer years more exposure only means more positions going wrong at the same time. At 225% the vault would have been liquidated on 10 October. I kept 120%, which leaves 41% of the margin free in that hour even if no stop fills.

How the settings were chosen

I started from round numbers: buys held up to 72 hours at a +8% target, the rebound short held up to 72 hours at -10%, and positions at 2% of daily volume. I then tested every buy hold from 12 to 72 hours in one-hour steps, targets in half-percent steps, the short's hold and target, and sizes from 1% to 5% of daily volume, and kept a setting only where its neighbours scored almost as well.



$10,000 with the round-number settings (grey) and with the tuned settings (blue), same engine, costs, funding, cap and safety stops. Left: the Hyperliquid test. Right: the longer history since 2020 on a log scale.

	ROUND NUMBERS	TUNED (THIS VAULT)
Buy: target / longest hold	+8% / 72 hours	+9% / 50 hours
Rebound short: target / longest hold	-10% / 72 hours	-9% / 48 hours
Position size, share of the coin's daily volume	2%	1.25%
Hyperliquid test, per year	+83%	+115%
Hyperliquid test, worst drop	-9.6%	-5.4%
Since 2020, per year	+33%	+34%
Since 2020, deepest fall	-41.6%	-24.8%
Since 2020, Sharpe ratio	0.96	1.17
2020 / 2021 / 2022	+2% / +0.4% / +8%	+24% / +1.5% / +34%
2023 / 2024 / 2025	+21% / +106% / +54%	+21% / +29% / +57%

Both changes cut the deepest fall. After about two days the coin's gain against ETH grows little, and holding longer mainly adds exposure to the next sell-off. The smaller positions did even more for the drawdown. The price is fewer huge years (2024: 29% instead of 106%), and because the settings were picked on this data, live results will likely come in lower.

The safety stops

Ordinary stops hurt this strategy. A crashed coin often dips once more before it bounces, and a stop 10 or 15% below the entry sells right at that second low. In the long history a -15% stop cut the return from 34% to 25% a year and turned 2020 and 2021 into losing years.

The vault uses two much wider stops, meant only for the rare trade that keeps collapsing. A buy is sold when the coin falls 8 times its average hourly range of the last 14 hours below the entry, measured when the signal fires. That puts the stop a median 15% below the entry on Hyperliquid coins, closer for calm coins and further away for wild ones. A rebound short is closed when the coin rises 40% above its entry. A stopped buy never opens a rebound short.

BUY STOP	HYPERLIQUID TEST, PER YEAR	SINCE 2020, PER YEAR	SINCE 2020, WORST DROP	WORST SINGLE TRADE, SHARE OF VAULT	STOPS SINCE 2020
None	+122%	+39%	-22%	-11.2%	0
5 times the hourly range	+105%	+32%	-27%	-8.7%	285
8 times (this vault)	**+115%**	**+34%**	**-25%**	**-8.9%**	**157**
10 times	+120%	+34%	-25%	-9.5%	115

All rows include the rebound short's +40% stop, except "None", which has no stop at all. The backtest fills a stop exactly at its price.

The stops fired 3 times in the Hyperliquid test and 157 times in about 1,450 trades since 2020. They cut the worst single trade from about 11% of the vault to 9%. With the tuned rules they cost return: about 5 points a year since 2020 and about 6 on Hyperliquid. I keep them as insurance against a trade that keeps collapsing, which the data since 2020 cannot fully show. The short stop has almost no effect on the results, because the ETH hedge already limits what a short can lose. It is there for a squeeze larger than anything in the data.

A stop is a market order sent when the price touches it, the same way the targets work, with nothing resting on the order book. In a crash as fast as 10 October it can fill well below its price, so I do not count on the stops for margin safety. The 120% cap does that job.

8. What to expect

IF THE NEXT YEAR LOOKS LIKE...	BEFORE FEES	AFTER THE VAULT'S FEES
the Hyperliquid test	about +115%	about +102%
the Hyperliquid test at half the pace	about +58%	about +50%
the years 2020 to 2022	about +19%	about +15%

Fees applied as 2% a year on assets and then 10% of the remaining profit. The first two rows come from the Hyperliquid test. The last row is the average of 2020 to 2022 in the longer history. None of them is a forecast.

> **How to read this**
>
> Plan with the middle row or below. The strategy earns most when altcoins crash often and hard, as they did in 2025 and 2026, and much less when markets are calm: 2021 made only 1.5%. The tuned rules were fitted to this history, so the real result will likely be lower.

9. What can go wrong

- An hour worse than 10 October 2025. The cap leaves room to spare in that hour, but a crash twice as deep at full exposure could still cause a large loss, and the safety stops may fill far below their price.
- Big single positions. A lone crash in a deep coin can take most of the vault, so one bad trade weighs more than it would at a small fixed size. Since 2020 the worst single trade cost about 9% of the vault.
- A short in a coin that keeps squeezing higher. The shorts are only stopped at +40%, so a coin that squeezes 30% within two days costs the full move before the 48-hour exit closes it.
- The hedge could stop paying. The coin-against-ETH bounce in section 2 has held since 2020, but if ETH starts rising while crashed altcoins keep falling, the hedges will lose money.
- Calm markets mean few crashes and few trades. In 2021 the strategy earned 1.5%, and the 2% management fee would have taken all of that.
- Execution in a panic. A position can be up to 1.25% of the coin's daily volume, and the backtest models the cost of that from Hyperliquid's order books and assumes it fills at the hourly open. The vault sends it in slices over a few minutes, and real fills in a panic can be worse.
- The rules, hold times, targets and position size were chosen by searching this same data, and the Hyperliquid window is ten months long. The vault starts below its cap and grows as live results confirm the backtest.

10. How it differs from Funding Momentum

Both vaults trade altcoin sell-offs on Hyperliquid and both hedge with ETH, so at first glance they look alike. They trade different moments of a sell-off.

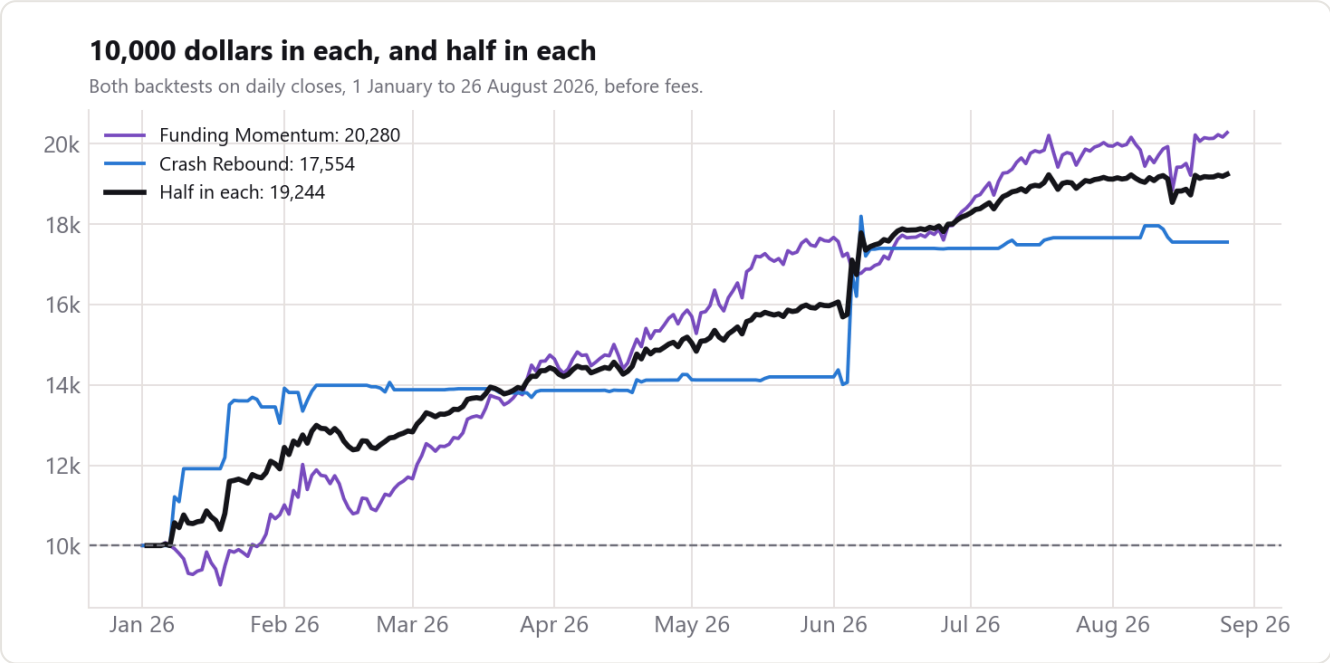
Funding Momentum shorts coins while the selling is still going on. It reads the funding rate: when shorts pay longs a large premium every hour, the selling usually continues for days, and the vault stays short through it. Its entry rule skips coins that have already collapsed, because its own research found those were the losing shorts. The sellers there were exhausted and the coin tended to bounce. Crash Rebound buys exactly those coins.

	FUNDING MOMENTUM	CRASH REBOUND
What it bets on	the selling continues after a funding panic	a sharp crash partly reverses
Signal	settled hourly funding at or below -0.04%	21-hour RSI below 20 in a coin trading $5M+ a day
Direction	short, with a long ETH hedge	long first, short after a fast bounce, each with an ETH hedge
Holding time	about 5 days, at most 14	at most 50 hours per buy and 48 hours per short
Time in the market	98% of hours	about 20% of hours
Positions at once	about 10 small shorts, up to 28	none most of the time, a few large ones in a crash wave
Leverage	none: shorts plus hedge stay within the vault's capital	coin positions up to 120% of the vault, hedges on top
Stops	30% per position, 45% emergency stop	wide safety stops (8 times the hourly range on buys, +40% on shorts), every trade ends within 50 hours
Deposit cap	$500,000	$750,000

Funding Momentum figures from its own strategy report (backtest 1 January to 26 August 2026).

Holding both

Because they trade different moments, the two backtests did not move together. Over the 238 days both cover, 1 January to 26 August 2026, their daily returns had a correlation of -0.04. On Funding Momentum's ten worst days (-3.4% on average) Crash Rebound made +2.1% on average. Of Crash Rebound's 80 trades in that window, only 4 were in a coin that Funding Momentum was short at the time.



SAME 238 DAYS	FUNDING MOMENTUM	CRASH REBOUND	HALF IN EACH
Total return	+102.8%	+75.5%	+92.4%
Worst drop, daily closes	-10.4%	-5.4%	-4.7%
Sharpe ratio	3.6	2.4	4.2

Before fees, rebalanced to half and half every day. Funding Momentum's own report measures on hourly closes, where its worst drop was -15.3%. Both are backtests over the same eight months.

Half in each gave up part of Funding Momentum's return, and in exchange the worst drop was smaller than either vault's on its own. If you already hold Funding Momentum, this vault adds a return that tends to come on different days.

11. The vault

A dedicated Hyperliquid vault runs this strategy automatically, so you do not have to watch for crashes or place the trades yourself.

How it works

- The vault runs exactly the rules in section 4, every hour, with the same engine that produced this report.
- Deposit cap: $750,000. Positions stay at or below 1.25% of their coin's daily volume, so the vault's size is set by the order books it trades. Large orders go out in slices of at most half the book near the price.
- Fees: 10% of your profit, never the money you put in, charged once a month and when you withdraw. No profit means no fee. Plus 2% a year on the money in the vault, already taken off the share price you see. Identical to the other Autopilot vaults.
- Withdrawals: the vault is in USDC about 80% of the time, so withdrawals are usually instant. If positions are open, a withdrawal can wait until they close, which takes about two days at most.
- Built on the platform's standard vault contract: members redeem their own shares to their own wallet, and the automation keys can trade but can never withdraw.

12. Common questions

Why is the vault in cash most of the time?

Because the signal only fires when liquid coins crash. In a calm market there is nothing to buy, and forcing trades would mean paying costs without an edge. The idle USDC also keeps withdrawals fast and leaves margin for the busy hours.

Is this a bet that the market goes up or down?

Neither. Every trade has an ETH position in the other direction. In the test its two best months came while bitcoin fell (June 2026: bitcoin -20%, vault +22.5%), and in August 2026, when bitcoin rose 25%, the vault lost only 0.6%.

Why short a coin right after buying it?

Only when the buy hit +9% fast. A coin that bounces that hard after a crash has often overshot, and since 2020 those shorts made about 40% of the strategy's profit.

Why do positions have different sizes?

Each one is as big as its coin's order book allows, up to 1.25% of the coin's daily volume, and all of them share the 120% cap equally when several are open. At a fixed 16% per trade the vault had about 31% of its money at work while holding anything; sized this way it was 48% (section 7).

Does the vault use stops?

Only two wide safety stops for extreme moves, 8 times the coin's hourly range below a buy and 40% above a short. Tighter stops made the results worse (section 7).

Is 115% a year realistic?

It is what the tuned rules made in a market with many sharp altcoin crashes, on the same data they were tuned on. Since 2020 the same rules made 34% a year, and only 1.5% in 2021. Plan with much less than 115%.

When exactly am I charged fees?

Once a month, and whenever you withdraw, the vault takes 10% of the profit you made since the last charge, never of your deposit. The 2% a year accrues inside the share price you see.

Glossary

Perpetual (perp): a futures contract with no expiry date, the instrument this vault trades on Hyperliquid.

RSI: relative strength index, a 0 to 100 reading of how one-sided recent price moves were. Below 20 on a 21-hour window means the last day was almost all selling.

Hedge: an ETH position opened in the opposite direction alongside every trade, sized by the coin's volatility relative to ETH.

Rebound short: a short opened in a coin right after a buy in it reached +9%, betting that the bounce overshot.

Hourly range (ATR): the average distance between an hour's high and low (and the previous close) over the last 14 hours. The safety stop on a buy sits 8 of these below the entry.

Maintenance margin: the minimum equity the exchange requires for open positions. Below it, the exchange closes them (liquidation).

Funding rate: an hourly payment between longs and shorts on a perp. The backtest charges or credits the real rate every hour.

Sharpe ratio: return per unit of day-to-day fluctuation, on a yearly basis. Higher is steadier; backtest values are usually higher than live ones.

Drawdown: the fall from a peak to the later low, measured on daily closes.

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29 September 2026 · every figure in this document was computed by the research engine (backtesting-engine, module crash_rsi, book crash_rsi.dynbook) with hourly trading costs, funding and liquidation checks; none were typed by hand · Expected returns use the Hyperliquid test (Hyperliquid hourly candles and settled funding, 2025-12-20 to 2026-09-28, the vault page's data) · The longer history uses Binance hourly candles for the same coins until each coin's first Hyperliquid hour, then Hyperliquid data, and is shown for context · The rules, hold times, targets and position size were selected by searching this same data, so results are optimistic · This document describes a backtest. It is not investment advice, not an offer, and past or simulated performance does not predict future results. The vault can lose money, including through liquidation of leveraged positions.